

Amendment No. 1 to HB6004

Cepicky
Signature of Sponsor

AMEND Senate Bill No. 6001*

House Bill No. 6004

by adding the following as a new subsection in § 49-6-3503 in Section 2:

(c) The state treasurer shall invest appropriations for the program and other available program funds pursuant to title 9, chapter 4, part 6. The state treasurer shall account for such funds in one (1) or more separate accounts in accordance with this section or other applicable law. Interest accruing on investments and deposits of the account must be returned to the account and remain part of the account. Any unencumbered moneys and any unexpended balance remaining in the account at the end of a fiscal year must not revert to the general fund, but must be carried forward until expended in accordance with this section. The money deposited in the account and the interest accruing on the deposited money must be used to provide scholarships to eligible students.

AND FURTHER AMEND by deleting Section 5 and substituting:

SECTION 5. Tennessee Code Annotated, Section 4-49-104, is amended by deleting subdivision (e)(1) and substituting:

(1)

(A) Except as provided in subsection (f), eighty percent (80%) of the privilege tax collected under this section must be distributed by the council to the state treasurer for deposit into an account, to be known as the disbursement account, which is administered by the state treasurer for use by local education agencies (LEAs), as defined in § 49-1-103, for the construction and maintenance of public school buildings.

(B) Subject to the availability of funds in the disbursement account, and upon the LEA's submission of a completed application:

(i) The state treasurer shall disburse, in the order in which the state treasurer receives completed applications, funds to an LEA in an amount equal to twenty-five dollars (\$25.00) for each student enrolled in the LEA, if the LEA is:

(a) Located in a county that is designated as an economically distressed or at-risk county by the department of economic and community development;

(b) An LEA in which fifty percent (50%) or more of the public schools operated or authorized by the LEA received an "A" letter grade pursuant to § 49-1-228 for the 2023-2024 school year or any subsequent school year; or

(c) An LEA that is eligible for a fast-growth stipend pursuant to § 49-3-107(b);

(ii) To the extent any funds remain in the disbursement account after the state treasurer makes the disbursements required in subdivision (e)(1)(B)(i), if one (1) or more LEAs have sustained significant damage to an existing public school building or facility due to the occurrence of an emergency or natural disaster, then the state treasurer shall disburse, in the order in which the state treasurer receives completed applications, funds to such LEAs. The state treasurer shall disburse no less than fifteen percent (15%) of any funds remaining in the disbursement account after disbursements have been made pursuant to subdivision (e)(1)(B)(i), to qualifying LEAs pursuant to this subdivision (e)(1)(B)(ii), if applicable; and

(iii) To the extent any funds remain in the disbursement account after the state treasurer disburses funds pursuant to subdivision (e)(1)(B)(ii), the state treasurer may disburse funds, in the order in which the state treasurer receives completed applications, to an LEA that identifies a demonstrated need for funds for the construction and maintenance of public school buildings that differs from the criteria in subdivisions (e)(1)(B)(i) and (ii).

(C) The state treasurer shall establish the application period within which an LEA must apply for a disbursement of funds pursuant to this subdivision (e)(1). The state treasurer may establish more than one (1) application period in a fiscal year.

(D) Within each application period established by the state treasurer, an LEA that meets one (1) or more of the criteria described in subdivision (e)(1)(B) may apply for a disbursement of funds for the construction and maintenance of public school buildings by submitting a completed application, as prescribed by the state treasurer. Each application submitted to the state treasurer must include, at a minimum, the following:

(i) A plan detailing how the LEA will expend the funds, including, but not limited to:

(a) A description of the construction and maintenance project the LEA will implement using the funds;

(b) The timeline for completion of the project, including project milestones;

(c) The amount of money needed for completion of the entire project and for each of the project milestones;

(d) The LEA's ability to monitor the usage of the funds for the intended purpose of the disbursed funds, as provided in, or pursuant to, this subdivision (e)(1); and

(e) Any other information or documentation requested by the state treasurer; and

(ii) A budget and financial statement for the LEA, which must include, but is not limited to, each of the LEA's funding sources.

(E)

(i) Except as provided in, and subject to, subdivision (e)(1)(B), the state treasurer shall determine the maximum amount of funds that may be allocated to an LEA pursuant to subdivision (e)(1)(B)(ii) or (e)(1)(B)(iii) from the disbursement account for purposes of this subdivision (e)(1).

When determining the maximum amount of funds that may be allocated to an LEA pursuant to subdivision (e)(1)(B)(ii) or (e)(1)(B)(iii), the state treasurer may consider one (1) or more of the following:

(a) The severity of the damage caused by an emergency or natural disaster;

(b) The severity or criticality of the demonstrated need identified by the LEA pursuant to subdivision (e)(1)(B)(i);

(c) The duration of the LEA's construction and maintenance project; or

(d) The amount of funds requested by the LEA, as compared to the funds available for disbursement.

(ii) Notwithstanding title 4, chapter 5, or another law to the contrary, the state treasurer is not required to promulgate rules to effectuate the requirements of this subdivision (e)(1)(E).

(F) The state treasurer may disburse funds to LEAs in whole or in part, based on project milestones. If the state treasurer elects to disburse funds in whole or in part, and the receiving LEA does not complete a project milestone or abandons the project altogether, then the LEA shall return any unused funds disbursed to the LEA from the disbursement account to the state treasurer.

(G) The state treasurer may request periodic reports from each LEA that receives a disbursement of funds pursuant to this subdivision (e)(1) regarding the use of such funds and the completion of the LEA's construction and maintenance project. If an LEA fails to comply with the state treasurer's request for periodic reporting regarding an ongoing construction and maintenance project, then the state treasurer may withhold the LEA's next disbursement.

(H) The state treasurer may facilitate procurements and enter into contracts or agreements to effectuate a disbursement of funds pursuant to this subdivision (e)(1) for financial consultants; auditors, accountants, and attorneys; third-party administrators; and other contractors, as the state treasurer deems necessary to carry out the duties and responsibilities for establishing, implementing, and administering disbursements pursuant to this subdivision (e)(1). Payment for such services must come from the disbursement account established under this subdivision (e)(1).

(I) The disbursement account administered by the state treasurer must be invested by the state treasurer pursuant to title 9, chapter 4, part 6. The state treasurer shall account for such funds in one (1) or more separate accounts in accordance with this section or other applicable law. Interest accruing on investments and deposits of the account must be returned to the account and remain part of the account. Any unencumbered moneys and any unexpended balance remaining in the account at the end of a fiscal year must not revert to the general fund, but must be carried forward until expended in accordance with this

subdivision (e)(1). The money deposited in the account pursuant to subdivision (e)(1)(A) and the interest accruing on the deposited money must be used by the state treasurer to disburse funds to LEAs in accordance with this subdivision (e)(1).

(J) In addition to the charge deducted from an account established pursuant to title 9, chapter 4, part 6 to defray the costs of administering the fund, the state treasurer may charge and deduct from the disbursement account an administrative fee to effectuate the purposes of this subdivision (e)(1) and to pay all reasonable expenses for legal services, accounting services, auditing services, consulting services, and other necessary services as determined by the state treasurer.

(K) The state treasurer may promulgate rules to effectuate the purposes of this subdivision (e)(1). The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

AND FURTHER AMEND by deleting Section 4 and substituting:

SECTION 4.

(a) Subject to appropriation and subsection (b), the department of education shall award a one-time bonus in an amount that is no less than two thousand dollars (\$2,000) to each teacher employed in a kindergarten through grade twelve (K-12) public school in this state for the 2024-2025 school year.

(b)

(1) In order to receive funds from the department for purposes of awarding the teacher bonuses described in subsection (a):

(A) The local board of education for the LEA must first adopt a resolution affirming that the LEA would like to participate in Section 4 of the Education Freedom Act of 2025; or

(B) The governing body of the public charter school must first adopt a resolution affirming that the public charter school would like to participate in Section 4 of the Education Freedom Act of 2025. If the public charter school is authorized by an LEA, and the local board of education for the LEA has adopted the resolution required in subdivision (b)(1)(A), then the governing body of the public charter school is not required to adopt a separate resolution under this subdivision (b)(1)(B).

(2) Each local board of education and public charter school governing body that wishes to receive funding from the department for purposes of this section must submit its resolution to the department by June 1, 2025.

(3) The department shall award a one-time bonus pursuant to this section to each teacher employed in a kindergarten through grade twelve (K-12) state special school managed and controlled by the department.

(c) Notwithstanding subsections (a) and (b), a teacher who was employed in a kindergarten through grade twelve (K-12) public school in this state for the 2024-2025 school year and who is a member of the general assembly on the effective date of this act is ineligible for the one-time bonus provided pursuant to this section.

(d)

(1) A bonus awarded pursuant to this section is solely state funded.

(2) Bonuses paid to teachers pursuant to this section are not part of the TISA, as defined in § 49-3-104, and must not be considered salary payments or supplements for purposes of § 49-3-306.

(e) The bonus must be included as earnable compensation, as defined in § 8-34-101(14), for retirement purposes, but is not made for the purpose of increasing a member's retirement benefit or inducing a member to retire.

(f) For purposes of this section, "teacher" has the same meaning as "existing educator," as that term is defined in § 49-3-104.

AND FURTHER AMEND by deleting § 49-6-3507 in Section 2 and substituting:

49-6-3507. Administration of assessments for recipients.

(a)

(1) As a condition of receiving a scholarship pursuant to this part, recipients in grades three through eleven (3-11) must be annually administered:

(A) A nationally standardized achievement test that is aligned to the respective private school's instructional plan, as determined by rules promulgated by the state board of education; or

(B) The Tennessee comprehensive assessment program (TCAP) tests for math and English language arts.

(2) Each private school that enrolls recipients shall annually administer the test or tests required in subdivision (a)(1) to recipients enrolled in the school. Each private school shall provide the results of the test or tests administered to recipients pursuant to subdivision (a)(1) to the recipient's parents.

(b)

(1) In order to assess academic performance, the department shall annually select a statistical sample of recipients enrolled in private schools in any of the grades three through eight (3-8) who were administered TCAP tests for the prior school year.

(2) The state board of education shall promulgate rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, to effectuate this subsection (b).

(c) By June 30, 2026, and by each June 30 thereafter, each private school shall provide the results of the tests administered to recipients pursuant to this section to the office of research and education accountability in the office of the comptroller of the treasury. A private school may provide the test results required pursuant to this section using aggregated, deidentified data; provided, that the data must be provided on a form

developed by the office of research and education accountability and in a manner that allows the office of research and educational accountability to group and analyze the results by recipient grade level, household income level, sex, and race. The office of research and education accountability shall submit an annual report to the education committee of the senate and to the committee of the house of representatives having jurisdiction over elementary and secondary education detailing the results of the tests administered to recipients pursuant to this section.

AND FURTHER AMEND by deleting subsection (i) in Section 3 and substituting:

(i)

(1) Beginning with TISA allocations for the 2026-2027 school year, and except when subdivision (i)(2) applies, if an LEA's TISA allocation for the current school year is less than the LEA's TISA allocation for the immediately preceding school year, and if the LEA experienced disenrollment, then the department shall allocate additional funds to the LEA such that the LEA's TISA allocation for the current school year combined with the amount of any additional funds received by the LEA pursuant to this subdivision (i)(1) is equal to the LEA's TISA allocation for the immediately preceding school year.

(2) Beginning with TISA allocations for the 2027-2028 school year, if an LEA has ever received additional funds under this subsection (i), and if an LEA's TISA allocation for the current school year is less than the sum total of the LEA's TISA allocation for the immediately preceding school year and the amount of any additional funds received by the LEA pursuant to this subsection (i) for the immediately preceding school year, then the department shall allocate additional funds to the LEA such that the LEA's TISA allocation for the current school year is equal to the sum total of the LEA's TISA allocation for the immediately preceding school year and the amount of any additional funds received by the LEA pursuant to this subsection (i) for the immediately preceding school year.

(3) Any additional funds provided to an LEA pursuant to this subsection (i) must be solely state funded. If an LEA is eligible for additional funds under this subsection (i) and subsection (b) or subsection (c), then the department shall only award additional funds to the LEA pursuant to this subsection (i) and shall not award any additional funds to the LEA pursuant to subsection (b) or subsection (c).

(4) As used in this subsection (i), "disenrollment" means that the LEA's non-virtual average daily membership for the current school year is lower than the LEA's non-virtual average daily membership for the immediately preceding school year.

AND FURTHER AMEND by deleting the language "Beginning with the 2026-2027 school year, and subject to" in subsection (b) in § 49-6-3504 in Section 2 and substituting "Subject to".

AND FURTHER AMEND by deleting § 49-6-3512 in Section 2 and substituting:

49-6-3512. Promulgation of rules.

The state board of education shall promulgate rules to effectuate this part. The rules must include an administrative appeal procedure for the denial of scholarship applications. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

AND FURTHER AMEND by deleting Sections 6, 7, and 8 and substituting:

SECTION 6. Tennessee Code Annotated, Section 4-49-104, is amended by adding the following new subsection (f):

(f) In any year, if the net lottery proceeds deposited into the lottery for education account established by § 4-51-111(b), exclusive of the amount in the general shortfall reserve subaccount created pursuant to § 4-51-111(b)(3), are not sufficient to meet the amount appropriated for educational programs and purposes pursuant to § 4-51-111(c), then the funds allocated pursuant to subdivision (e)(1) must be reduced by the amount

of the deficiency and such amount must be deposited into the lottery for education account.

SECTION 7. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 8. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 9. Sections 5 and 6 of this act take effect July 1, 2025, the public welfare requiring it. All other sections of this act take effect upon becoming a law, the public welfare requiring it.